

FIGR pitch deck

PITCH — FIGR — VERDICT

ADJUDICATED 2026-08-08 — HALF-STARTER RATIFIED, NO ADDS: 125 shares bought at \$28.80 (~0.35% of the book); the stock is now \$38.64 (+35% on our cost) and every re-entry band sits far below the tape, so the only live instruction is HOLD and complete the mandatory post-print re-court that the August 13 earnings report triggered and that this deck does not substitute for.

What we believe

Figure Technology Solutions runs an online marketplace for home-equity loans. It signs up borrowers, originates the loan through partner banks, and then sells the loan on to investors, keeping fees along the way. The company also runs the technology rails (a blockchain-based ledger) that the loans settle on, and it services the loans after they're sold.

Our belief, in one sentence: **the company is converting loan volume into revenue at a rate the market's analysts were modeling too low, and the volume itself is real and organic — not bought.**

The specifics we bet on:

- Loan volume through the consumer marketplace ran about \$4.26 billion in the second quarter of 2026, and the company publishes volume on a rolling public dashboard, so volume was never the uncertainty.
- The uncertainty was **conversion**: how much revenue the company squeezes out of each dollar of volume. Our pre-print model said conversion would hold near 5.1–5.2% of volume. The actual print came in at roughly 5.12% (\$218 million of adjusted net revenue on \$4,259 million of volume). Our model's downside case ("compresses to 5.0%, revenue \$213M") landed 2.3% from the actual number.
- That combination — volume the market can already see, plus conversion holding up — implies a full-year revenue figure near \$900 million against a published analyst consensus of roughly \$718–730 million at the time we took the position.
- The acquisition of Kiavi (a lender to residential fix-and-flip investors) for \$717 million in cash **had not closed** as of the second-quarter numbers. So none of the volume or earnings anyone has seen includes it. If it closes, it adds roughly 40% more loan volume and, on company commentary, about \$100 million of annual earnings before interest, taxes, depreciation and amortization. That is a real option nobody's published numbers contain.

We bought a half-size starter deliberately: enough to own the idea, small enough that a bad print could not hurt us.

What the market believes

The market is not asleep on this name, and we should say that plainly.

- Roughly 7–8 analysts cover the stock, all constructive, with an average price target around \$51 and a range of \$31 to \$70. The stock at \$38.64 is inside that range, not below it.
- The consensus full-year model for 2026 is about \$820 million of revenue and \$0.99 of earnings per share. That embeds a **second-half decline** in earnings per share (about \$0.46 in the back half versus \$0.53 in the first half). In other words, the analysts already assume that the fee rate compresses and that the new debt costs money.
- Roughly 12.8 million shares are sold short — about 7.4% of the tradable float — and short interest rose about 11% into the stock's 34% rally. The people on the other side of this are adding, not covering.
- Our own crowding measure classifies the stock as **discovered and crowded** (positioning score 0.674). This is not an unknown company.
- The most important market signal is not in the equity at all. On July 14, 2026, the company sold **\$600 million of senior notes at an 8.500% coupon, due 2031** ([SEC Form 8-K](#)). Lenders with full access to the books, a senior claim, and no equity upside demanded 8.5%. That is a high-yield price. The equity, meanwhile, trades at about 39 times consensus 2026 earnings. Those two markets are pricing very different levels of risk in the same company, one month apart.

Why we might have edge

Three honest sources, in descending order of strength:

1. **We modeled the right variable.** Because the company publishes volume publicly and continuously, the earnings report carried almost no volume news. The entire outcome turned on the fee rate. We identified that before the print, modeled the fee rate explicitly with a downside case, and were right within 2.3%. Reported earnings per share came in at \$0.35 against \$0.23 expected; revenue \$218.4 million against \$207.7 million expected. That is a modeling edge, and it paid.
2. **We correctly separated organic growth from acquired growth.** One of our own reviewers argued the July volume surge might be Kiavi loans sneaking into the numbers. It wasn't — Kiavi hasn't closed. Volume through July was organic. That distinction is the difference between a growing business and an accounting illusion, and checking it was worth doing even though it came back clean.
3. **An unpriced, disclosed option.** Kiavi is announced, sized, and absent from every published forecast we can find. When a deal that adds ~40% to volume is public but not in anyone's model, the gap between the stock and its value can close on a single filing.

Where the edge is weaker: none of this is secret. The fee-rate compression is in the press release. The 8.5% coupon is in a public filing. We were early to the arithmetic, not to the facts.

Why it might be priced in

This is the strongest part of the bear case and we lost most of it by being right too slowly.

- **The gap has largely been paid.** At \$38.64 across roughly 248.8 million fully diluted shares, the company is worth about \$9.6 billion. Against annualized second-quarter earnings before interest, taxes, depreciation and amortization of roughly \$476 million, that's about 20 times — and about 26 times once you subtract roughly \$104 million a year of stock paid to employees, which is a real cost even though it isn't cash. On the more conservative reading (see below), the multiple is higher still. The stock is up 35% from our cost. **Most of the move we predicted has happened.**
- **Analysts are not far from us on direction.** They already model second-half compression. We disagree on magnitude, not on the story. Disagreeing on magnitude with a crowded, well-covered stock is a thin edge.
- **Management itself has guided the fee rate to the low end again** for the third quarter. Compression isn't our discovery or a bear's speculation — it is company policy. Volume has to keep compounding just to hold revenue flat.
- **The lowest analyst price target, \$31, is below where the stock trades.** When at least one professional forecaster's fair value is beneath the market price, "the market hasn't figured this out" becomes hard to say with a straight face.

What could go wrong

This is the pre-mortem. Assume it's a year from now and the position lost money. Here is how.

Failure narrative 1 — The quality of the earnings was worse than the headline, and the market eventually noticed (most likely)

The second quarter that we graded a success was flattered by three things stacking in the same three months:

- **A non-cash accounting gain.** "Gain on servicing asset, net" was \$29.1 million versus \$1.8 million a year earlier — nearly sixteen times. That single line is 24% of the entire \$119.5 million revenue increase, and it is a mark-to-model estimate of the future value of servicing loans, not cash received. Strip it out and the adjusted profit margin goes from an apparent expansion (49.8% → 52.9%) to a **contraction** (49.8% → 45.9%). The sign flips.
- **A negative tax rate.** The company recorded a \$4.4 million tax *benefit* on \$83.0 million of pre-tax profit, versus a 10.1% tax charge a year earlier. This comes from deductions generated when employee stock vests — deductions that shrink when the stock is down 50% from its high. Taxed at a normal 24%, second-quarter net income is \$63.1 million, not \$87.4 million — a 28% haircut.
- **A cost that wasn't there yet.** The \$600 million of 8.5% notes was issued on July 14 — *after* the quarter ended. About \$12.75 million per quarter of interest is missing from the numbers we graded, and Kiavi's economics are missing too.

Monitorable tripwire: yes. Third-quarter net take rate on the company's own definition; the servicing-asset gain line; whether the tax line turns to a normal charge; whether operating cash flow turns positive.

Failure narrative 2 — Credit deteriorates in the loans we can't see

Figure originates home-equity loans and sells them. Our own earlier work found delinquency on loans **held for sale** running 3.91% rising to 5.46%, against the company's cited 0.80% on the **securitized** population. Those are different pools of loans, and the disclosure doesn't reconcile them. If the loans still on the balance sheet are worse than the ones sold, the servicing asset gets marked down, the fee rate falls further, and the investors who buy these loans pay less or step back entirely. Loans held for sale grew from \$404 million to \$597 million in six months, so there is more of this pool, not less. Add Kiavi — fix-and-flip and bridge lending, the most cyclical corner of housing credit, bought late in a cycle with 8.5% money — and the credit exposure roughly compounds.

Monitorable tripwire: partial and weak. We can watch quarterly delinquency disclosures, but the bank partners are not named in the filings, so we cannot independently pull their regulatory call reports. **Neither bench closed this.** It is the single most important unadjudicated question in the file.

Failure narrative 3 — The business model itself was partly circular, and we cannot see it (NO monitorable tripwire)

Figure operates both sides of a marketplace: it originates loans, and through its "Democratized Prime" arrangement it also organizes the pool of lenders who buy them. If a meaningful share of the buy-side capital is not genuinely arm's-length — if it is affiliated, seeded, financed by the company, or dependent on the company's continued support — then the "volume" we are underwriting is partly the company selling to itself, and the fee rate is partly an internal transfer price rather than a market price. Related-party debt on the balance sheet went from \$166.1 million to \$424.6 million in six months (+156%), and now represents 26% of total liabilities, with the counterparty unnamed in what we've read.

There is no tripwire for this. No filing line item, no price level, and no dashboard metric will tell us the day it stops being true. It would surface, if at all, through an enforcement action, a short report, a restatement, or a sudden unexplained collapse in volume — all of which arrive after the price moves. **Unknown-unknown class: counterparty-identity opacity in a self-organized two-sided market.** The thing we cannot monitor is not a number; it is *who is on the other side of the trades that generate our revenue*. We are naming it rather than pretending our sensor list covers it.

The reflexive and structural leg

- **Our size is not the market risk here.** 125 shares against a stock trading millions of shares a day is immaterial — we could exit in seconds. Our own flow is not the danger.
- **Our own process is the danger.** We graded this position a "HIT" using a ratio we built ourselves — whole-company revenue divided by one segment's loan volume — and that grade generated internal pressure to add. The company publishes its *own* matched metric, "net take

rate,” and that metric went **down**, from 4.0% to 3.6%. A grading artifact almost pushed us to buy more after a 34% run. That is reflexivity inside our own institution, and it is the failure mode this deck exists to catch.

- **The flow we’d be bidding into is real.** The lock-up on roughly 185 million shares expired March 10, 2026. Nine insider sale filings landed in five weeks, plus two Form 144 notices of intent to sell — including [Morgan Creek, 50,190 shares / \\$1.79 million on August 18](#). Adding at the top of a 34% move means buying insider supply. Our own rule against bidding into predicted supply bars the add on its own.
- **Tax clock.** The lot was bought August 8, 2026. Any sale before August 2027 is taxed at the higher short-term rate. That argues against trimming into strength without a genuine reason, and it means the position is committed for a year unless something actually breaks.
- **Doctrine collision.** One rule says a crowded, well-discovered stock reduces size but does not veto a position. Another says never bid into your own predicted supply. Both point the same way here — hold, don’t add — which is why the adjudication landed where it did without having to break a tie.

If this position loses money, the most likely reason will be that the quarter we graded a win was the one quarter in which a \$29 million non-cash servicing mark, a negative tax rate, and the absence of \$51 million a year of new interest expense all stacked at once — and we measured it with a ratio the company itself does not use, while its own published fee rate was already falling.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Loan volume conversion held at ~5.1%	Q2 press release and 10-Q against our pre-print model	\$218M adjusted net revenue on \$4,259M volume = 5.12%; our downside case was within 2.3% of actual	Yes
Earnings beat consensus	Reported vs. consensus	EPS \$0.35 vs \$0.23; revenue \$218.4M vs \$207.7M	Yes
Our “conversion” ratio is the right measure	Company’s own press release	No — our own error. We put whole-company revenue (including interest income and a non-cash mark) over <i>one segment’s</i> volume. The company’s matched metric, net take rate, is 3.6% vs 4.0% a year ago — down 40 basis points . Our ratio and the company’s move in opposite directions	No — desk process error
Margins expanded (47.2% → 54.6%)	Line-by-line decomposition of the income statement	Servicing-asset gain \$29.1M vs \$1.8M prior year. Excluding it, the margin <i>contracts</i> 49.8% → 45.9%	No — the headline is misleading
Record profit is high-quality	Tax line, cash flow statement	Tax <i>benefit</i> of \$4.4M, not a charge. Operating cash flow first half 2026 negative \$73.0M vs positive \$76.1M a year earlier. Partly explained by loans-held-for-sale growth (\$404M →	Confirmed, and it’s a real caveat

Claim	How checked	Found	Confirmed?
		\$597M), so not pure accounting rot — but \$87M of profit produced no cash	
July volume was organic, not Kiavi	Q2 disclosure and earnings call	Kiavi has not closed. July volume was organic. Our own bear reviewer's contamination theory was wrong	Yes — bear reviewer error
Pre-print revenue estimate of ~\$160M	Actual print	Bear reviewer error, 36% low. It applied the marketplace net take rate (3.6%) to total company revenue — a basis mistake, mirroring the one our bull side made in the other direction. Both of our benches made basis errors on the same metric, in opposite directions	No
The 34% rally was short covering	Short interest data (secondary source; our data connector failed)	Short interest 12.8M shares, 7.4% of float, up 11% . Shorts added into the rally. Covering theory refuted	Refuted — credit to the bear bench for catching it
The credit market agrees with the equity	Form 8-K, July 14, 2026	\$600M senior notes at 8.500% , callable 2028, issued to fund Kiavi. ~\$51M/year of interest absent from the quarter we graded	Confirmed
Valuation still offers a gap	Share count from 10-Q cover; consensus	~224.4M shares outstanding, ~247–249M diluted. Market cap ~\$9.5–9.6B. Roughly 20x annualized adjusted EBITDA, ~26x after stock compensation; ~39x consensus EPS. Lowest analyst target (\$31) is below the tape	The gap is largely paid
Are minority shareholders protected?	Share class breakdown	Two super-voting classes hold 16.9% of shares (37.9M Class B + 0.8M Blockchain Common vs 185.7M Class A). Exact votes per share not verified . Founder control is not contestable	Confirmed structurally, magnitude unverified
Is there a hidden holding-company structure inflating share count?	Non-controlling interest lines	Checked deliberately. Non-controlling interest income –\$10K, equity –\$27K — immaterial. Clean. Absence of a problem is itself a finding	Clean
Our data pipeline reported accurate inputs	Direct inspection	Three infrastructure failures. (1) The evidence pack's financial-data block was empty twice , including after the Q2 filing was indexed. (2) The short-interest connector failed with a parse error but the pack recorded it as “ok” — a failure that looked like a clean result. (3) The news-volume connector returned zero data points — an empty run, not a negative finding. All three had to be backfilled by hand	No — reportable pipeline defects
Our supersession checker worked	Review of the automated warning	The checker flagged our bull bench for quoting a stale price figure. The bench had explicitly declared it was superseding the stale tape in its first line. The warning was a false alarm on a correctly-declared supersession — but	Checker over-fired; keep it

Claim	How checked	Found	Confirmed?
		the check is still worth keeping, because the failure mode it guards against is real	

Where we most clearly erred: both of our own review benches got the fee-rate arithmetic wrong, in opposite directions, and one of those errors briefly justified an upsize. The finding that fixed it came from the company's own press release — a document both benches had.

PROPOSED ENTRY BANDS

The adjudication's answer is NO ADDS. These are the reopen gates, stated as adjudicated:

- **Add band ~\$25** — the level at which the bear reviewer changes its mind, i.e. where the +18.6% bounce that preceded our entry has fully unwound.
- **Thesis-break \$24.11 close = mandatory re-court before holding.** A close at or below the 52-week low means we do not know what the downside is. The floor is uncomputed. We stop and re-argue the case before holding another day, let alone adding.
- **August 13 earnings, before market open: mandatory post-print re-court on the fee take-rate and the Kiavi closing terms.** *This print has happened. The re-court is owed and not yet complete. Nothing in this deck discharges it.*

Where things stand against those bands (as of \$38.64):

	Level	Distance from tape
Current price	\$38.64	—
Our cost	\$28.588 (125 sh, +35.2%)	−26%
Bull bench's re-add band	≤\$32	−17%
Bear bench's add unlock	≤\$31 (lowest analyst target)	−20%
Adjudicated add band	~\$25	−35%
Thesis break	\$24.11 close	−38%

The adjudicated band at ~\$25 sits below both benches' own suggested levels. Where they disagree, the adjudication governs — the benches' \$31–\$32 levels are recorded here for transparency, not armed as buy triggers.

Position size: 125 shares, roughly 0.35% of the book. Ratified as a half-starter. It stays a half-starter.

Non-price unlock: a confirmed Kiavi close on clean terms re-opens the case independently of price, because it adds economics no published forecast contains. That re-opening still requires a fresh court, not an automatic add.

Trim triggers (both benches, converging): - Third-quarter net take rate printing **below 3.4–3.5%** (the company's own guided floor) → trim. - Consumer marketplace loan volume **below \$4.8**

billion in the third quarter → trim. - Neither fires automatically. Both send it back to court first, because the position is on a short-term tax clock until August 2027.

Catalyst dates: - **August 13, 2026 (past)** — Q2 results. Resolved in our favor on the metric we modeled; resolved against us on the company's own metric. Re-court owed. - **August 31, 2026** — outside date for a Kiavi close during August. Unconfirmed. As of the August 18 filings, no closing 8-K has appeared. After a close, the public volume dashboard stops being readable as organic growth unless the company adds composition footnotes — which it currently does not provide. - **November 12, 2026** — next quarterly report. This date is derived from a data vendor, **not confirmed by any company announcement**. Treat it as approximate. - **Year-end 2026** — company's own outside guidance for the Kiavi close ("second half 2026").

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 25.0 (deck-provisional: adjudicated add band — bear bench's stated mind-change level, where the pre-entry +18.6% bounce has fu)
- filing watch: 8-K until 2027-02-20 (deck-provisional: Kiavi \$717M closing terms — unclosed as of the 8/18 filings; a close adds ~40% volume and ~\$100M EBITD)
- dated pack FIGR|2026-08-13: FIGR Q2 print 8/13 BMO: HIT = revenue conversion $\geq 4.5\%$ of volume AND Kiavi close terms clean. MANDATORY post-print re-court either way. RE
- dated pack FIGR|2026-08-31: FIGR: outside date for expected Kiavi close during August — dashboard loses organic readability after (date confirmed=False)
- dated pack FIGR|2026-11-12: FIGR: next quarterly report — vendor-derived date, no company announcement names it; re-verify before relying on it (date confirmed=False)
- dated pack FIGR|2026-12-31: FIGR: company's own outside guidance for the Kiavi close ('second half 2026') (date confirmed=False)

What remains unverified

Stated plainly, because these are the reasons a re-court is owed rather than optional:

1. **The credit population mismatch.** Delinquency on loans held for sale (3.91% → 5.46%) versus the securitized pool (0.80%). Different pools, no reconciliation in the filings. **No bench closed this.** It is the most important open question in the file.
2. **Who the related-party lender is.** \$424.6 million of related-party debt, up 156% in six months, 26% of total liabilities, counterparty unnamed in what we've read. The related-party transactions note in the 10-Q would settle it. We have not read it.
3. **Whether the marketplace's buy side is arm's-length.** The "Democratized Prime" question. Unaddressed by both benches.

4. **Kiavi's actual financials.** No audited statements, no 8-K/A, no S-4. We know the price (\$717 million) and the claimed volume (+\$7 billion annually). We do not know the target's earnings, credit quality, or funding cost.
 5. **Which banks originate the loans.** Not named in the filings, so we cannot independently check their regulatory delinquency reports.
 6. **Exact voting power of the super-voting share classes.** We know 16.9% of shares sit in classes with extra votes; we have not read the charter to learn how many extra.
 7. **Precise enterprise value.** Cash of \$1.4376 billion and debt of \$963.0 million at June 30 are known; the split between restricted and unrestricted cash is not, and the post-notes, post-Kiavi balance sheet doesn't exist yet. Our ~\$9.6–9.8 billion figure is an estimate.
 8. **Direction of individual insider filings.** We know the cadence; we have not verified each filing as a sale versus a tax-withholding event.
 9. **Whether the company takes reduced-disclosure exemptions** available to recently-listed companies, and the pre-IPO financing history. Neither was read. Do not read "not checked" as "clean."
 10. **The confirmed next earnings date.** Vendor-derived only.
 11. **We had no live market data feed this session.** Price permissions were denied; \$38.64 is a closing anchor, not a live quote. Re-pull before acting on any band.
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